



Entrepreneurship Skills- Feasibility Study (Existing Business Model & MSMEs)

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Idea Assessment



- Once entrepreneurs develop ideas for new businesses, the next step is to assess these ideas. **An idea assessment** is the process of examining a need in the market, developing a solution for that need, and determining the entrepreneur's ability to successfully turn the idea into a business.
- After identifying the most promising idea using the idea assessment process, the entrepreneur subjects it to a **feasibility analysis** to determine whether they can transform the idea into a viable business.
- **A feasibility analysis is the process of determining whether an entrepreneur's idea is a viable foundation for creating a successful business.** Its purpose is to determine whether a business idea is worth pursuing. A feasibility study answers the question, "Should we proceed with this business idea?" Its role is to serve as a filter, screening out ideas that lack the potential for building a successful business, before an entrepreneur commits the necessary resources to develop and test a business model or to build a business plan.
- A feasibility study primarily is an investigative tool. It is designed to give an entrepreneur a picture of the market and the sales and profit potential of a particular business idea

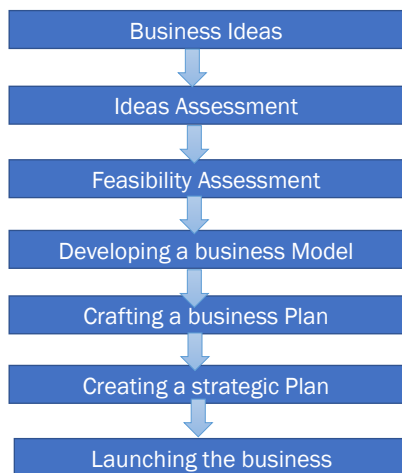
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Five Key Parameters for Idea Assessment



1. **Customers**- Start with a group of customers who have a clear need that is not being addressed. Who would be the users of the offering? How would they use the offering? How many potential customers are there?
 2. **Offering** -Describe your idea for a product or service to offer the customers. What are its key features? Describe it in detail and sketch out an image of it if you can.
 3. **Value Proposition** -Explain why your product or service will be important to the customers. Why would your offering be valuable to the user and/or buyer? How does it address the need these customers currently have that is not being met?
 4. **Core competency** -Does your offering include any technologies or unique features that will help differentiate it from competitors. Is it based on intellectual property that you can protect?
 5. **People**. Identify the key people on the team who will launch this business. Who are the founding entrepreneurs of this venture? Do they have the skills and knowledge needed to successfully turn the idea into a start-up venture
- *You can use the idea sketch pad to answer questions in the five areas and gauge your idea.*

Idea Assessment



- If the idea passes the feasibility analysis, the entrepreneur moves on to the next steps of the new business planning process.
- If the idea fails to pass, the entrepreneur drops it and moves on to the next idea. He or she has not wasted valuable time, money, energy, and other resources building a plan for launching a business that is destined to fail because it is based on a flawed concept.
- Entrepreneurs too often jump ahead and begin modeling or planning their business ideas. They get excited about the potential they imagine if they launched a business based on the idea. However, most ideas do not become successful businesses.

Business concept



- A business concept is a concise description of an opportunity that contains four elements:
 1. Product/service
 2. Customer definition
 3. Value proposition
 4. Distribution channel
- By answering the following questions, you can arrive at an effective business concept that can be tested.
 1. What is the product or service being offered?
 2. Who is the customer?
 3. What is the benefit?
 4. How do you get the product or service to the customer?

Business concept



- Examples of a concept statement
 - Fresh Farms provides restaurants and institutions with ease and convenient access to quality organic herbs, sauces and pre-cut condiments. Fresh Farms will reach its customers through catalog service, website and will deliver directly to the customers from its warehouse.

Defining the business you are in.



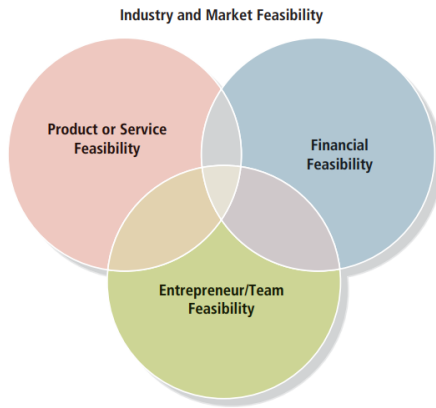
- Consider defining your space in terms that won't limit your scope as your industry evolves but that is still narrow enough for someone to understand the space you are in.
- Be aware of the differences between features and benefits. Features are usually characters of the product while benefits is what is in it for the customer and is usually intangible.
- Quick test your business concept even before you conduct your feasibility study by asking your self and those around you the following questions:
 - Am I really interested in this business opportunity?
 - Is anyone else interested?
 - Will people actually pay for what I am offering?
 - Why me?
 - Why now?
- *Review and rewrite your business concept, and then conduct a feasibility analysis.*

Feasibility Analysis



- **A feasibility analysis is the process of determining whether an entrepreneur's idea is a viable foundation for creating a successful business.** Its purpose is to determine whether a business idea is worth pursuing.
 - Feasibility analysis is an opportunity to take a hard look at your idea to see whether it needs minor or major pivots, or if warranted, to be completely abandoned so you can move on to another idea.
- A feasibility analysis consists of four interrelated components:
 1. an industry and market feasibility analysis,
 2. a product or service feasibility analysis,
 3. a financial feasibility analysis,
 4. An entrepreneur feasibility analysis
- Six foundational macro forces create change in industries and the markets they serve. We will look at these PESTLE forces.

Feasibility Analysis



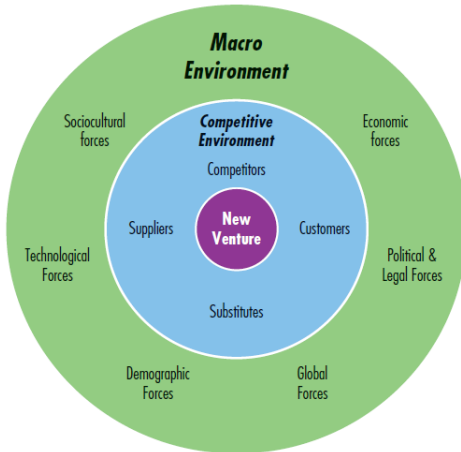
- After conducting the idea assessment, an entrepreneur scrutinizes the idea further through a feasibility analysis.
- A feasibility analysis consists of four interrelated components:
 1. an industry and market feasibility analysis,
 2. a product or service feasibility analysis,
 3. a financial feasibility analysis,
 4. and an entrepreneur feasibility analysis

Feasibility Analysis



- **Industry and Market Feasibility**
 - The first step in assessing industry attractiveness is to paint a picture of the industry in broad strokes, assessing it from a “macro” level. Foundational macro forces shape industries and the markets they serve. Changes in any of these macro forces can dramatically change the competitive nature of an industry and fundamentally change the needs and wants in its target market. Entrepreneurs must be vigilant when monitoring macro forces.

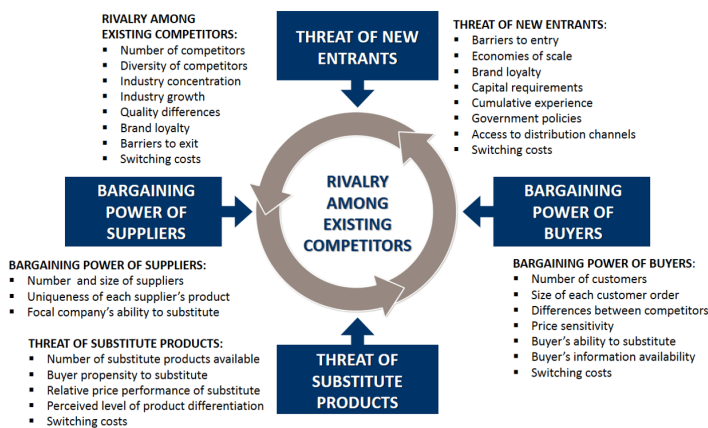
Feasibility Analysis-PESTLE



• Industry and Market Feasibility

1. Political
2. Economic
3. Social
4. Technological
5. Ecological
6. Legal

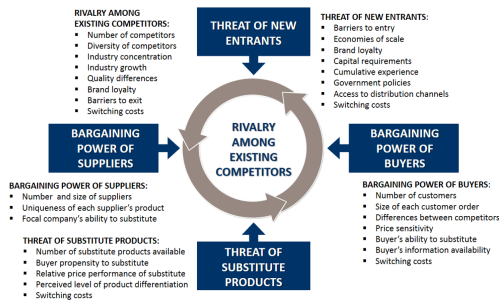
Feasibility Analysis



• Industry and Market Feasibility

- After evaluating the broader macro environment, the entrepreneur changes focus to the more immediate competitive environment. A useful tool for analyzing a specific industry's attractiveness within the competitive environment is the **Five Forces Model** developed by Michael Porter of the Harvard Business School.

Feasibility Analysis



• Industry and Market Feasibility

- After conducting an industry and market feasibility, you should be able to identify potentially attractive niches (*gap/underserved segment*) that exist in the industry.
- Many small businesses prosper by sticking to niches in markets that are too small to attract the attention of large competitors; occupying an industry niche enables these businesses to shield themselves to some extent from the power of the five forces.
- The key question entrepreneurs address about a possible niche market is "Can we identify a niche that is large enough to produce a profit, or can we position our company uniquely in the market to differentiate it from the competition in a meaningful way?"

Feasibility Analysis



• Industry and Market Feasibility

- Generally, a niche strategy is a good way for a new business to enter the market. It usually takes fewer resources for the start-up due to lower marketing costs and the ability to start on a smaller scale. Success rates tend to be higher for niche businesses because they have less direct competition. Without much competition, niche businesses can charge higher prices, which allows for quicker positive cash flow during start-up and better margins once profitable.
- However, entrepreneurs should be aware of some cautions with a niche strategy:
 - Entering a niche requires adaptability in your initial plan.
 - Niches change.
 - Niches can go away.
 - Niches can grow.-Although significant growth in a market may not sound bad, it can attract more competitors

Feasibility Analysis



- **Product or Service Feasibility**
 - A product or service feasibility analysis determines the degree to which a product or service idea appeals to potential customers and identifies the resources necessary to produce the product or provide the service.
 - This portion of the feasibility analysis addresses the question, “Are customers willing to purchase our goods and services?”
 - Entrepreneurs need feedback from potential customers to successfully answer this question. Conducting **primary research** involves collecting data firsthand and analyzing it; **secondary research** involves gathering data that has already been compiled and is available, often at a reasonable cost or sometimes even free.
 - Here you can conduct customer surveys and focus groups, or you can introduce a prototype.

Feasibility Analysis



- **Financial Feasibility**
 - At this stage of the process, a broad financial analysis that examines the basic economic feasibility is sufficient. This component of the feasibility analysis answers the question, “Can this business generate adequate profits?”
 - The four major elements to be included in a financial feasibility analysis include;
 1. **the initial capital requirement**- A good feasibility analysis provides an estimate of the amount of start-up capital an entrepreneur will need to get the business up and running
 2. **estimated earnings**,
 3. **time out of cash**-A common cause of business failure is running out of cash before the business breaks even and can support itself through the cash flow from operations
 4. **Resulting return on investment**-A venture must produce an attractive rate of return relative to the level of risk it requires. This risk-return trade-off means that the higher the level of risk a prospective business involves, the higher the rate of return it must provide to the entrepreneur and investors

Feasibility Analysis



- **Entrepreneur Feasibility**
 - There is one last component of feasibility to examine—the readiness of the entrepreneur (and, if applicable, the entrepreneur's team) to launch the venture successfully. Many new businesses require that an entrepreneur have a certain set of knowledge, experiences, and skills to have any chance of being successful.
 - For example, starting an accounting firm requires a high level of knowledge and experience in the laws and practice of accounting. Entrepreneurs can gain the knowledge and skills they need from previous jobs, from their formal education, or from their interests or hobbies.
 - The second aspect of entrepreneur feasibility is to assess whether the business can meet the financial and nonfinancial needs of the entrepreneur and the team. Will the business be able to generate enough profit to support everyone's income needs? If it is successful, will it also meet the wealth goals of the founding team? Just because a business is profitable does not mean that it is profitable enough to support the entrepreneur and his or her team.

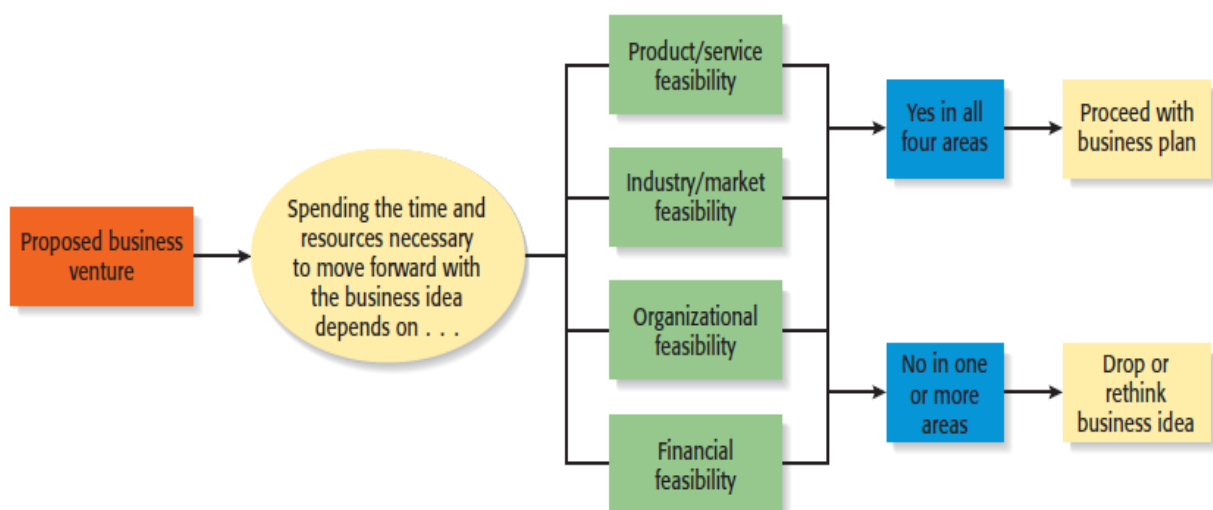
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Entrepreneurship Skills

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Role of feasibility analysis in developing business ideas



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Entrepreneurship Skills

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Presenting a feasibility study



- Normally a feasibility study is done for self assurance. It comes before the writing of a business plan. It might be required for funding purposes if you are getting funding at concept stage. The outline of a feasibility analysis would be as follows:
 - Executive summary
 - Table of contents
 - Feasibility decision
 - Business concept
 - Industry/market analysis
 - Founding team
 - Product/service development plans
 - Financial plan
 - Time to launch
 - Appendix
- You are not required to write out your feasibility study for this course.